

ARUN KUMAR

Before all the ash started flying, Hinduja had put on a brave face on the disappointing quarterly results, saying the bank's board has taken "appropriate, swift" action. But the scale of losses, and more so the suspected fraud behind it, have shaken up what is India's fifth largest lender, with over 41 million customers and deposits of over Rs 4 lakh crore. Though the bank has claimed it is well capitalised, the recent events have threatened to erode its reputation, even as more instances of accounting errors and discrepancies keep surfacing. "Every line of defence at IndusInd Bank seems to have failed to detect these discrepancies," says financial consultant Ashvin Parekh. "A detailed investigation will certainly be conducted, particularly so if it is suggesting intentional non-compliance."

Conceptualised by Srichand P. Hinduja, the eldest of the Hinduja brothers and erstwhile chairman of the Hinduja Group, and established in 1994, IndusInd Bank was the first among the new-generation private banks in the post-economic liberalisation era. Ashok, the youngest of the deceased Srichand's three brothers, chairs the Hinduja Group of companies in India. IIHL holds around 16 per cent stake in the bank, and has the Reserve Bank of India's (RBI) consent to raise it to 26 per cent (*see chart*). Its key customers include large corporates, small and medium enterprises (SMEs) as well as retail clients, with a focus on commercial vehicle financing. The bank had a network of 2,984 branches and 2,956 ATMs as of FY24.

DISCOVERY OF A 'FRAUD'

No one could have predicted such a drastic turn of events at the bank. It came under the RBI's radar in early March, when the central bank denied Kathpalia a three-year extension and granted only a year instead. On March 10, the bank's senior management held a conference call with analysts, stating discrepancies had been found in the derivatives trading portfolio and that the bank expected to take a financial hit of Rs 1,900-2,000 crore as a result. Derivatives are financial contracts whose value is determined by the price of an underlying asset, such as stocks, bonds, commodities or currencies. They are used for various purposes, including hedging risk, speculating on price movements and potentially earning profits. At that stage, Kathpalia said the problem was specifically in the internal deals for foreign currency liabilities.

It is standard practice for banks to hedge currency risks to minimise potential losses from exchange rate fluctuations. IndusInd Bank, too, used derivative instruments to manage such risks. However, during a review of its processes to comply with RBI guidelines on investment portfolios—effective April 2024—the bank discovered "some gaps" in the positioning of its derivatives. It found the anomalies around October-November last year, and hired an external agency to investigate the matter, in addition to an internal enquiry, Kathpalia told the media. Strangely enough, Gobind Jain, the bank's CFO, resigned in January, to "pursue opportunities outside the bank", following which Khurana stepped into the role.

"Derivatives are complex instruments. Usually, there are multiple underlying assets which are at risk, resulting in complex valuation as well as accounting treatment," says Parekh. "The underlying risk may include interest rates, market rates or exchange rates, which are dynamic and volatile. The combination of such underlying risks requires proper assessment of value at risk." On March 20, the bank announced that it had appointed a new external agency to conduct a root cause analysis and assign accountability. On April 27, it said the agency found that the discrepancies would lead to a financial hit of Rs 1,960 crore. Khurana resigned the next day, and Kathpalia, a day later, taking moral responsibility.

The bank has said that a committee of executives will manage

41 MILLION CUSTOMER BASE

₹4 lakh CRORE DEPOSITS

₹62,725 CRORE* MARKET CAP

*May 28

₹1,960 CRORE EXTENT OF DERIVATIVES DISCREPANCIES

₹2,328 CRORE Q4 FY25 LOSSES

SHAREHOLDING PATTERN

A look at who holds how much of the bank

